Why paying customers dropped while signups grew

Northwind CRM · Self-serve funnel · Data Jan 1 – Jun 30, 2026

Paying customers dropped 47% QoQ after Free CRM launched (316 → 168 per month), even though signups grew 25% QoQ. Signup-to-paid conversion by SKU didn't change. What changed is the SKU mix: Free CRM became the primary call-to-action across the site on Apr 1 and now takes 69% of signups, but only 4.7% of them become paying customers, vs ~29% for Starter and Pro trials. The shift in SKU mix accounts for the drop.

Paying customers / month	Signups / month	Signup → paid	New deal value / month
Q2: **168**	Q2: **1,359**	Q2: **12.3%**	Q2: **$9.5K**
Q1: 316 · QoQ -47%	Q1: 1,087 · QoQ +25%	Q1: 29.0% · QoQ -16.7pp	Q1: $16.3K · QoQ -42%

Data

We used 307,715 website sessions, 7,338 signups and 1,495 closed opportunities. Sessions and signups cover Jan 1 – Jun 30, 2026; opportunities run to Jul 26 so June signups have time to close. Signups are grouped by the month they signed up (cohorts) and compared as Q1 (Jan–Mar, before Free CRM) vs Q2 (Apr–Jun, after launch) using monthly averages. A paying customer is an opportunity with amount > $0 closed within 30 days of signup. How the data was validated, cleaned and joined is in Data methodology.

Problem

Northwind CRM shows an apparent signup-to-paid conversion problem: blended conversion fell from 29% to 12% and paying customers dropped ~47% QoQ (316 → 168/month), even as signups grew 25% QoQ. The timing aligns with the launch of a new packaging scheme that includes a freemium plan.

Hypotheses

1. **Free CRM is cannibalizing Starter and Pro (SKU mix shift).** People who used to start a Pro or Starter trial now get Free CRM. If Free CRM converts at a lower rate, it could be pulling down the blended conversion rate.
2. **Signup quality deteriorated (top of funnel).** Lower-quality signups could also explain the drop in conversion, regardless of which SKU people sign up for.

What we found

1. **The SKU mix shifted; signup-to-paid conversion by SKU didn't.** Starter went from 81% of signups to 19%, Pro from 19% to 12%, and Free CRM took 69%. Signup-to-paid by SKU stayed flat (Starter 28% → 29%, Pro 34% → 29%[†]).
2. **The drop is the same across every top-of-funnel trait.** Channel, entry page, device, new vs returning visitor, company size and country all fall 12–22pp QoQ in signup-to-paid conversion, all in April, after a flat Q1. Free CRM takes 65–74% of Q2 signups in every slice. Signup quality doesn't explain the drop.
3. **Net signup growth is much smaller than Free CRM's volume.** Starter and Pro trial signups dropped by 660/month QoQ and Free CRM grew by 932, netting out at +271 signups/month QoQ. That lift could be attributed to Free CRM, but not conclusively[*].
4. **Free CRM upgrades go only to Starter.** All 132 Free CRM upgrades were to Starter ($35); none went to Pro. All happened within 29 days of signup.

5. **Traffic growth came almost entirely from low-converting sources.** Sessions grew 44% QoQ, and 98% of the new sessions came from Display and Direct. Those two channels brought only 43% of the new signups: Display turns fewer than 0.5% of visits into signups, and Direct's rate fell from 2.9% to 1.9% as its volume nearly doubled. This affects traffic efficiency, not the quality of the signups (finding 2).

* 271 net new signups/month is an upper bound for what Free CRM added. In the same period traffic grew 44% QoQ (mostly Display and, in June, Direct) and the signup increase is spread across all channels. With this data we can't separate how much of the growth came from Free CRM vs traffic.

† Pro's Q1 average is lifted by January (38.6%). Feb–Jun Pro ranges 26–32%, in line with Q2.

Recommendations

1. **Use Free CRM to capture residual conversion, not as the default.** Make the Starter and Pro trials the main signup path again, and move trialists who don't buy to Free CRM when the trial ends (a reverse trial). Trials convert to paid at ~29% vs 4.7% for Free CRM, and ~71% of trialists don't buy today; Free CRM gives them a reason to stay instead of leaving. Validate it against today's setup on paying customers per visitor over 90 days, so Free CRM's slower upgrades are counted.

2. **Use in-product messaging to upsell Free CRM users to Starter in their first month.** Every Free CRM upgrade today happens within 29 days of signup, and all of them go to Starter. Connect upgrade prompts to the moments when users hit a Free CRM feature limit, so the message shows up when the value of Starter is most obvious.

3. **Add a product adoption layer alongside the purchase flow.** Track a few activation events for every signup, trial or free (for example: contacts imported, first deal created, a teammate invited). This tells us whether product adoption changed with the new packaging, why ~95% of Free CRM users don't upgrade (they don't adopt, or they adopt but have no reason to pay), and later which trialists are worth moving to Free CRM.

Sequencing. Start 1 and 3 right away. Tracking adoption is critical for any free or freemium product, and nothing else depends on it to start. The reverse trial forces Free CRM to generate incremental value while we learn its long-term effect, and running it as a test limits the downside on paying customers. Recommendation 2 needs the adoption data from 3 to know when to trigger the upgrade message, so it follows once that data exists.

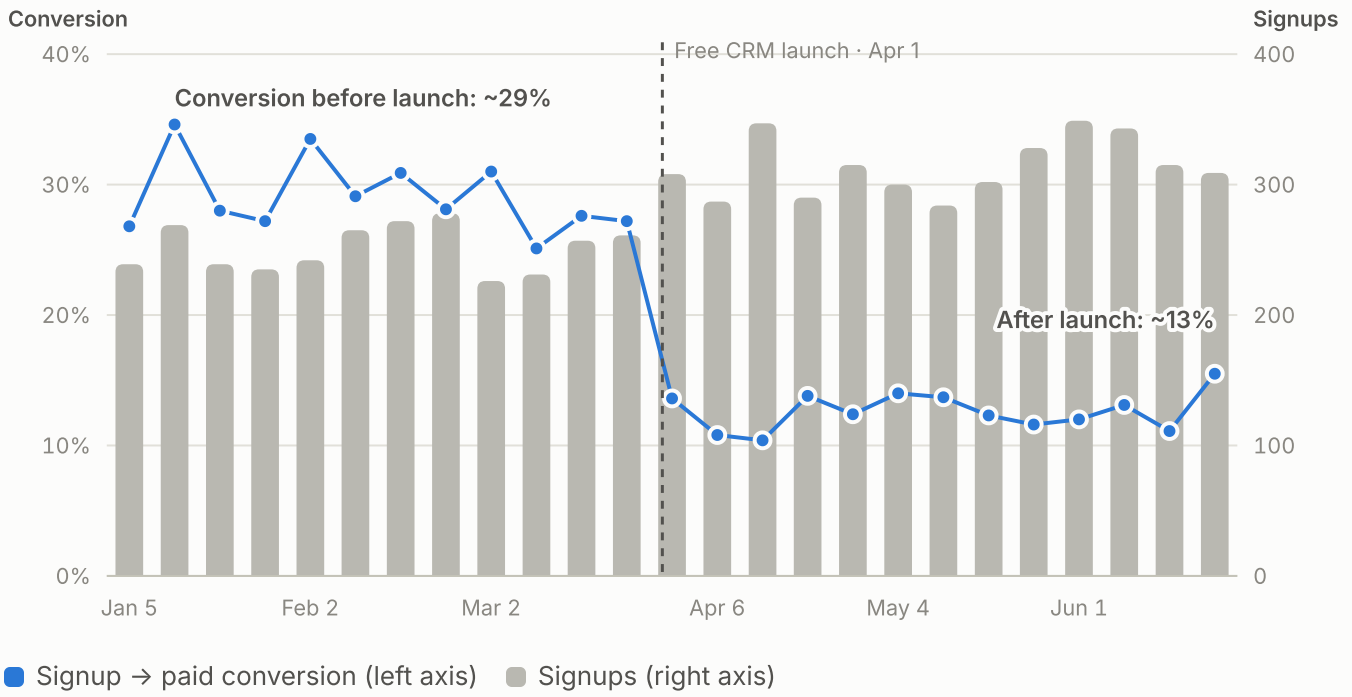
Analysis

1. Signups grew while signup-to-paid conversion dropped

Signups keep growing through the period. Signup-to-paid conversion is flat until Free CRM launches, then drops in a single step and stays at the new level.

Signups grew while conversion dropped in one step

Weekly signup cohorts, complete weeks only (Jan 5 – Jun 28). Hover for values.



Same view by month, with sessions and deal value:

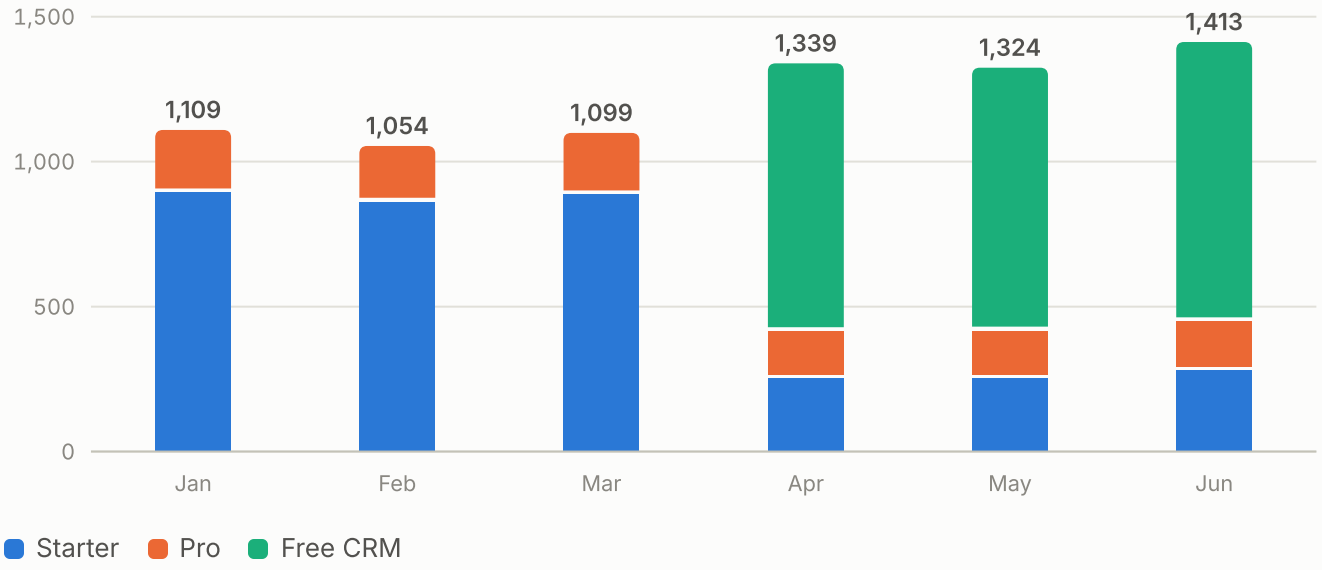
Signup month	Sessions	Signups	Paid (30d)	New deal value (30d)	Session → signup	Signup → paid	Sess
Jan	38,440	1,109	321	$17,460	2.89%	28.9%	
Feb	38,152	1,054	322	$15,770	2.76%	30.6%	
Mar	49,304	1,099	304	$15,590	2.23%	27.7%	
Apr	52,148	1,339	151	$8,435	2.57%	11.3%	
May	58,887	1,324	169	$9,515	2.25%	12.8%	

Jun	70,784	1,413	183	$10,455	2.00%	13.0%

2. Free CRM took two thirds of signups; signup-to-paid per SKU didn't move

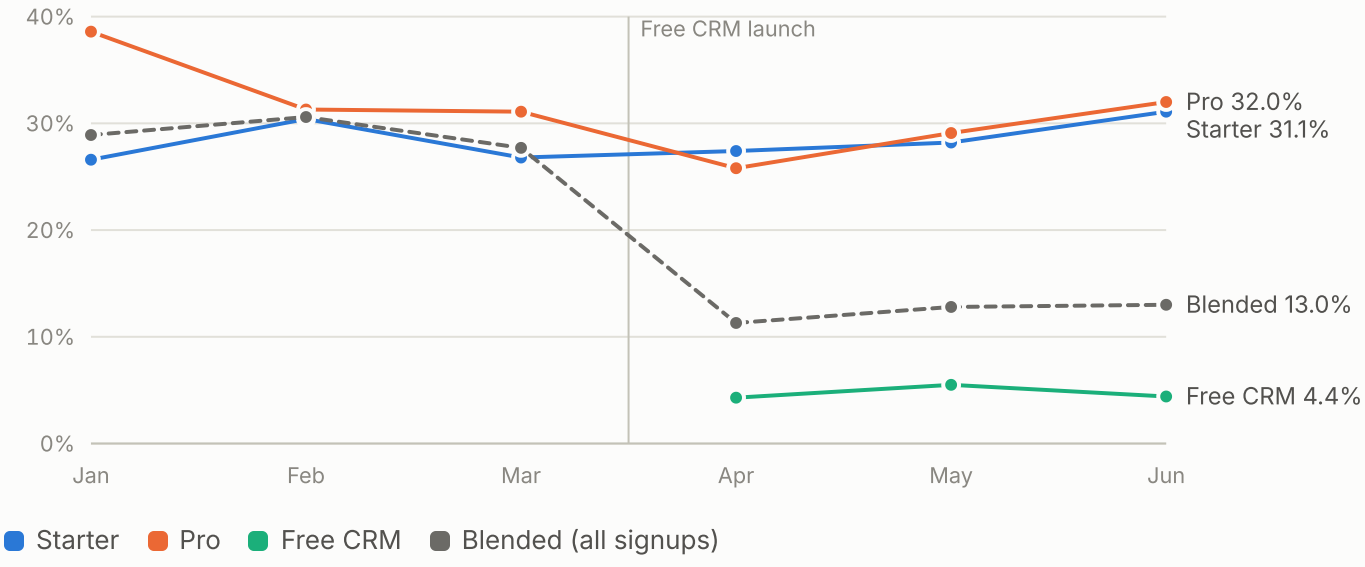
Signups per month by SKU

The mix flips on Apr 1 and stays stable after.



Signup → paid conversion by SKU didn't move

Starter and Pro hold at ~26–32%. The blended rate falls because Free CRM, at ~5%, is now most of the volume.



For paying customers to stay flat QoQ (316/month), Free CRM would need a signup-to-paid conversion of ~21%, vs 4.7% today.

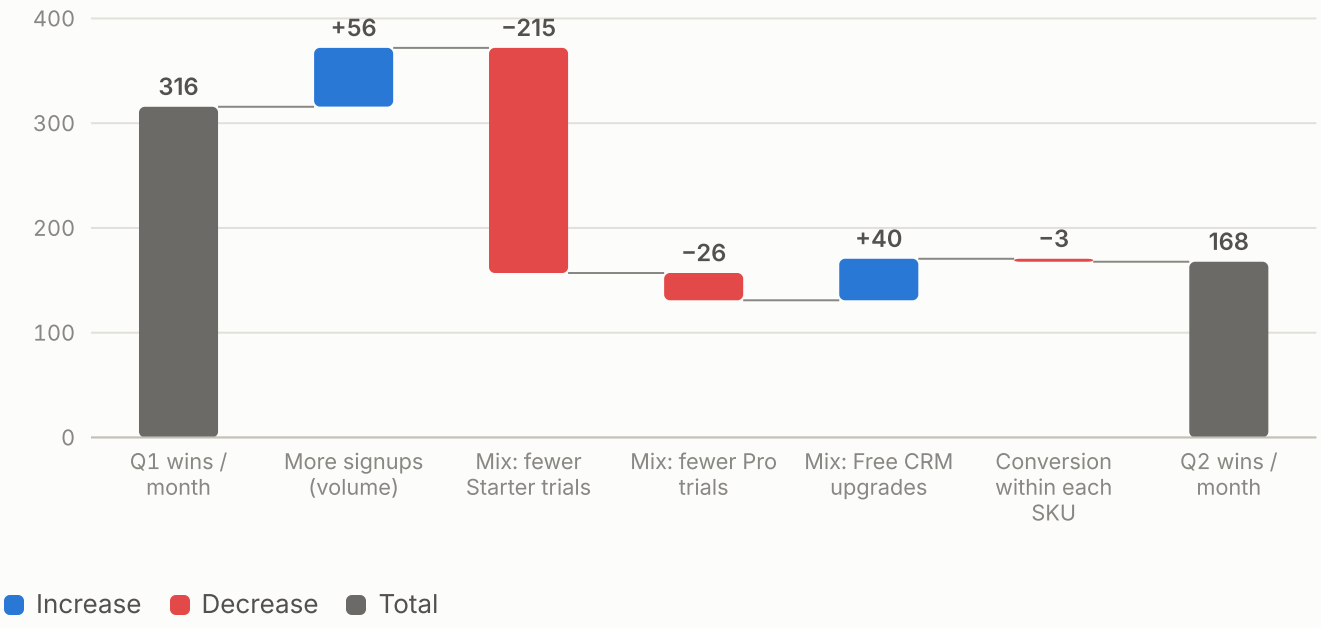
SKU	Signups/mo Q1	Signups/mo Q2	Mix Q1	Mix Q2	Conv. Q1	Conv. Q2	Paid/mo Q1	Paid/mo Q
Starter	881	261	81%	19%	27.9%	29.0%	246	7
Pro	206	166	19%	12%	33.8%	29.0%	70	4
Free CRM	—	932	—	69%	—	4.7%	—	4
All signups	1,087	1,359	100%	100%	**29.0%**	**12.3%**	**316**	**16**

3. How much of the drop each factor explains

We split the change in monthly paying customers into three parts (Kitagawa decomposition): **volume** (more signups), **mix** (which SKU they sign up for) and **rate** (conversion inside each SKU). The three parts add up exactly to the total change.

From 316 to 168 paying customers per month

Blue adds wins, red takes them away. Q1 vs Q2 monthly averages.

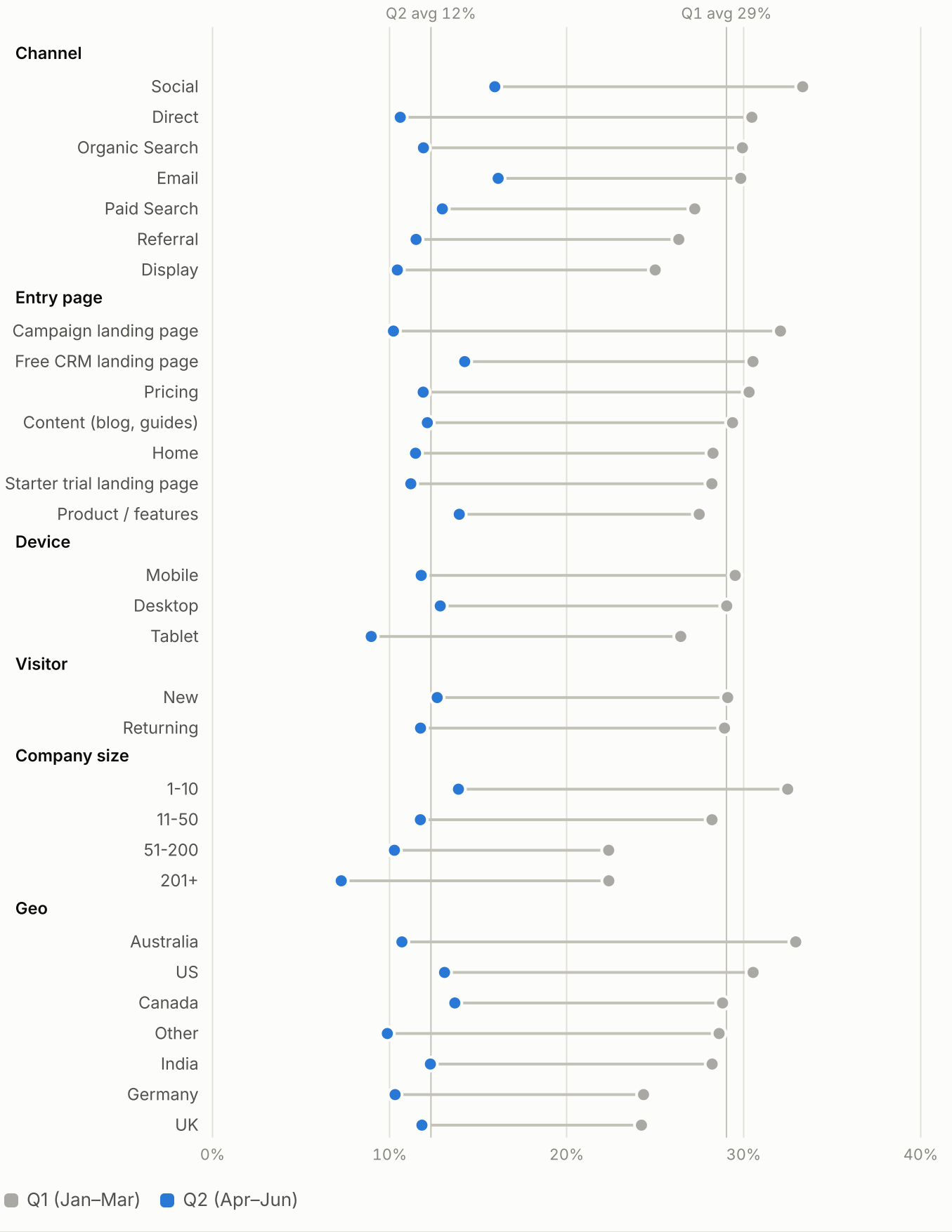


Assumption: Free CRM didn't exist in Q1, so it has no Q1 conversion rate. We use its Q2 rate for both periods, which puts its whole effect in mix. Query: 03_decomposition.sql.

4. The drop is the same for every type of signup

Signup → paid conversion, Q1 vs Q2, by origin

Every slice drops by a similar amount, close to the overall average. Hover for Free CRM share and sample size.


Q2 avg 12%
Q1 avg 29%
Channel
Social
Direct
Organic Search
Email
Paid Search
Referral
Display
Entry page
Campaign landing page
Free CRM landing page
Pricing
Content (blog, guides)
Home
Starter trial landing page
Product / features
Device
Mobile
Desktop
Tablet
Visitor
New
Returning
Company size
1-10
11-50
51-200
201+
Geo
Australia
US
Canada
Other
India
Germany
UK
0%
10%
20%
30%
40%
Q1 (Jan–Mar)
Q2 (Apr–Jun)

If traffic quality were the cause, we'd expect the drop to be concentrated in some channels and to build gradually as Display grew from February. Instead it hits every slice at once, in April. Free CRM also takes 65–74% of Q2 signups everywhere, including visitors who land on the Starter trial page (67%) and on pricing (68%).

The gaps between slices that existed in Q1 are still there in Q2: small companies convert better than large ones, Email and Social above average, tablet below. Those are structural differences between sources, and they didn't change with the launch. Monthly detail for every slice is in Appendix B4.

5. Where the traffic growth came from

Monthly averages, Q1 vs Q2. Display and Direct account for nearly all the new sessions. The other channels stayed flat in volume but turned more of their visits into signups.

Channel	Sessions/mo Q1	Sessions/mo Q2	Δ sessions	Share of new sessions	Session → signup Q1
Display	7,891	18,558	+10,667	57%	0.37%
Direct	8,708	16,320	+7,611	41%	2.89%
Organic Search	10,416	10,515	+99	1%	2.76%
Referral	1,910	2,002	+92	0%	4.90%
Social	3,840	3,910	+70	0%	0.86%
Email	2,462	2,526	+65	0%	4.90%
Paid Search	6,739	6,776	+37	0%	4.03%
All channels	**41,965**	**60,606**	**+18,641**	**100%**	**2.59%**

Direct triples in June (26K sessions) while its session-to-signup rate drops to 1.3%; likely a tracking or bot issue worth checking at the source.

Appendix A — Glossary

- **Session:** one visit to the Northwind website.
- **Signup:** a lead registering for one SKU: Starter trial, Pro trial or Free CRM.

- **SKU:** the product a lead signs up for (Starter trial, Pro trial or Free CRM). Not the plan they end up buying: Free CRM upgrades are bought as Starter.
- **Win / paying customer:** a signup whose opportunity closed with an amount above $0 within 30 days of signing up. $0 deals (comps, coupons, internal) don't count.
- **Signup → paid conversion:** wins divided by signups, for the same group of signups.
- **Blended conversion:** signup → paid across all SKUs together.
- **Cohort:** signups grouped by the week or month they signed up. A cohort's wins are counted whenever they close, up to 30 days later.
- **Q1 / Q2:** Jan–Mar 2026 (before Free CRM) and Apr–Jun 2026 (after launch), compared as monthly averages.
- **QoQ:** change from the Q1 monthly average to the Q2 monthly average.
- **Mix shift:** a change in the share of signups going to each SKU.
- **Deal value:** the opportunity amount: $35 for Starter, $110 for Pro.

Appendix B — Data behind the charts

B1. Weekly signups and signup → paid conversion (section 1)

Complete Monday–Sunday weeks only. Free CRM launched Wednesday Apr 1, inside the week of Mar 30.

Week of	Signups	Free CRM share	Paying customers (30d)	Signup → paid
Jan 5	239	0%	64	26.8%
Jan 12	269	0%	93	34.6%
Jan 19	239	0%	67	28.0%
Jan 26	235	0%	64	27.2%
Feb 2	242	0%	81	33.5%
Feb 9	265	0%	77	29.1%
Feb 16	272	0%	84	30.9%
Feb 23	278	0%	78	28.1%
Mar 2	226	0%	70	31.0%
Mar 9	231	0%	58	25.1%

Mar 16	257	0%	71	27.6%
Mar 23	261	0%	71	27.2%
Mar 30	308	49%	42	13.6%
Apr 6	287	69%	31	10.8%
Apr 13	347	69%	36	10.4%
Apr 20	290	70%	40	13.8%
Apr 27	315	66%	39	12.4%
May 4	300	73%	42	14.0%
May 11	284	65%	39	13.7%
May 18	302	68%	37	12.3%
May 25	328	67%	38	11.6%
Jun 1	349	67%	42	12.0%
Jun 8	343	67%	45	13.1%
Jun 15	315	73%	35	11.1%
Jun 22	309	66%	48	15.5%

B2. Signups and conversion by SKU, monthly (section 2)

Month	SKU	Signups	Mix	Signup → paid	Paying customers (30d)	Deal value (30d)
Jan	Starter	894	81%	26.6%	238	$8,330
Jan	Pro	215	19%	38.6%	83	$9,130
Feb	Starter	862	82%	30.4%	262	$9,170
Feb	Pro	192	18%	31.3%	60	$6,600
Mar	Starter	887	81%	26.8%	238	$8,330
Mar	Pro	212	19%	31.1%	66	$7,260
Apr	Starter	252	19%	27.4%	69	$2,415
Apr	Pro	163	12%	25.8%	42	$4,620
Apr	Free CRM	924	69%	4.3%	40	$1,400
May	Starter	252	19%	28.2%	71	$2,485

May	Pro	165	12%	29.1%	48	$5,280
May	Free CRM	907	68%	5.5%	50	$1,750
Jun	Starter	280	20%	31.1%	87	$3,045
Jun	Pro	169	12%	32.0%	54	$5,940
Jun	Free CRM	964	68%	4.4%	42	$1,470

B3. Decomposition of the change in paying customers (section 3)

Step	Wins / month	What it means
Q1 baseline	315.7	Average paying customers per month, Jan–Mar
Volume effect	+56.1	More signups at the average conversion
Mix effect	-201.3	Signups moving from trials to Free CRM
↳ Starter	-214.9	
↳ Pro	-26.0	
↳ Free CRM	+39.6	
Rate effect	-2.8	Change in conversion inside each SKU
↳ Starter	+6.3	
↳ Pro	-9.1	
Q2	167.7	Average paying customers per month, Apr–Jun

Free CRM has no Q1 rate; its Q2 rate is used for both periods, which puts its whole effect in mix.

B4. Signup → paid conversion by origin slice, monthly (section 4)

All signups, 30-day wins, in %. Slices with fewer than ~70 signups/month (Australia, Germany, Canada, tablet, trial and campaign landing pages) are noisy month to month; use Q1 vs Q2 for those.

Channel

Channel	Jan	Feb	Mar	Apr	May	Jun	Q1	Q2	Δ pp	Free share Q2	Signups/mo
Social	27.3	40.0	32.3	11.4	15.4	21.4	33.3	15.9	-17.4	71%	40
Direct	32.0	31.6	27.7	8.2	11.4	12.0	30.5	10.6	-19.9	69%	283

Organic Search	32.2	29.8	27.9	10.1	11.5	14.1	29.9	11.9	-18.0	68%	312
Email	26.4	28.6	35.1	21.4	13.9	13.2	29.8	16.1	-13.7	67%	134
Paid Search	25.5	31.1	25.6	11.8	14.1	13.0	27.2	13.0	-14.3	68%	300
Referral	27.4	28.4	23.5	11.8	12.8	10.1	26.3	11.5	-14.8	70%	99
Display	15.4	28.0	26.0	7.5	14.1	10.6	25.0	10.4	-14.6	71%	56
All signups	**28.9**	**30.6**	**27.7**	**11.3**	**12.8**	**13.0**	**29.0**	**12.3**	**-16.7**		**1,223**

Entry page

Entry page	Jan	Feb	Mar	Apr	May	Jun	Q1	Q2	Δ pp	Free share Q2	Signups/m
Campaign landing page	30.2	26.2	42.2	10.3	10.1	10.3	32.1	10.2	-21.9	74%	6
Free CRM landing page	25.0	38.3	28.7	15.7	12.6	14.5	30.5	14.2	-16.3	65%	10
Pricing	28.4	33.3	29.7	14.5	12.1	9.4	30.3	11.9	-18.4	68%	25
Content (blog, guides)	34.0	29.3	25.7	7.6	12.7	16.3	29.4	12.1	-17.2	69%	25
Home	28.2	29.4	27.2	10.4	12.4	11.6	28.3	11.5	-16.8	70%	26
Starter trial landing page	28.0	20.7	37.5	4.4	14.0	16.7	28.2	11.2	-17.0	67%	3
Product / features	28.0	30.1	24.4	13.0	14.9	14.1	27.5	13.9	-13.6	68%	25
All signups	**28.9**	**30.6**	**27.7**	**11.3**	**12.8**	**13.0**	**29.0**	**12.3**	**-16.7**		**1,22**

Device

Device	Jan	Feb	Mar	Apr	May	Jun	Q1	Q2	Δ pp	Free share Q2	Signups/mo
Mobile	28.9	32.0	27.8	11.6	13.5	10.4	29.5	11.8	-17.7	68%	414
Desktop	29.4	30.2	27.5	11.1	12.8	14.7	29.0	12.9	-16.2	69%	760
Tablet	24.4	23.7	31.0	13.0	5.4	7.4	26.4	9.0	-17.5	71%	44
All signups	**28.9**	**30.6**	**27.7**	**11.3**	**12.8**	**13.0**	**29.0**	**12.3**	**-16.7**		**1,223**

Visitor

Visitor	Jan	Feb	Mar	Apr	May	Jun	Q1	Q2	Δ pp	Free share Q2	Signups/mo
New	28.1	31.2	28.1	11.0	13.1	13.9	29.1	12.7	-16.4	69%	772
Returning	30.7	29.4	27.0	11.8	12.2	11.3	28.9	11.7	-17.2	69%	451

All signups	**28.9**	**30.6**	**27.7**	**11.3**	**12.8**	**13.0**	**29.0**	**12.3**	**-16.7**		**1,223**

Company size

Company size	Jan	Feb	Mar	Apr	May	Jun	Q1	Q2	Δ pp	Free share Q2	Signups/mo
1-10	34.4	32.8	30.3	13.5	13.6	14.5	32.5	13.9	-18.6	68%	614
11-50	25.6	31.7	27.9	10.2	13.7	11.3	28.2	11.7	-16.5	68%	334
51-200	19.6	25.7	22.2	6.8	13.0	11.0	22.4	10.3	-12.1	69%	188
201+	26.2	21.7	20.0	9.3	4.1	8.8	22.4	7.3	-15.1	74%	81
All signups	**28.9**	**30.6**	**27.7**	**11.3**	**12.8**	**13.0**	**29.0**	**12.3**	**-16.7**		**1,223**

Geo

Geo	Jan	Feb	Mar	Apr	May	Jun	Q1	Q2	Δ pp	Free share Q2	Signups/mo
Australia	41.2	31.4	23.5	9.4	12.3	9.8	32.9	10.7	-22.2	70%	60
US	27.4	34.7	29.5	11.1	14.4	13.8	30.5	13.1	-17.4	68%	557
Canada	25.4	34.0	28.8	18.7	11.6	11.1	28.8	13.7	-15.1	72%	78
Other	30.9	26.8	27.8	12.9	7.3	9.1	28.6	9.9	-18.7	70%	123
India	31.3	25.0	28.6	12.0	11.8	13.0	28.2	12.3	-15.9	69%	222
Germany	30.0	21.7	21.4	5.1	12.7	13.6	24.3	10.3	-14.0	71%	62
UK	24.6	25.6	22.9	7.9	12.4	16.2	24.2	11.8	-12.4	69%	113
All signups	**28.9**	**30.6**	**27.7**	**11.3**	**12.8**	**13.0**	**29.0**	**12.3**	**-16.7**		**1,223**

Appendix C — Reconciliation with the finance view

Finance counts customers by the month the deal closed; this analysis counts them by the month the customer signed up. The monthly numbers differ but tell the same story. January close-month counts are low because some January closes come from December signups, which aren't in the data.

Close month	Paying customers	All closed opps (incl. $0)	New deal value

Jan	168	173	$8,955
Feb	313	318	$16,580
Mar	316	322	$15,485
Apr	228	235	$11,880
May	177	181	$10,095
Jun	161	164	$9,385
Jul	102	102	$5,670

July closes come from June signups (the opportunity extract runs to Jul 26). Includes 15 opportunities whose lead_id doesn't match any signup.

Appendix D — Queries

Every number in this document comes from three SQL files in the project repo. How the data was validated and cleaned is in Data methodology.

- 01_clean.sql: cleaning rules and the analysis base table
- 02_funnel.sql: weekly and monthly funnel, SKU split, slices, finance view
- 03_decomposition.sql: decomposition